

25VECV00992 25VECV00992

County: los-angeles

Division: Civil Law and Motion

Department: T

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Case Number: 25VECV00992 Hearing Date: July 1, 2026 Dept: T

25VECV00992 DAVISON V TESLA

[TENTATIVE] ORDER: Defendant

Tesla Inc.'s Motion to Compel Arbitration and Stay the Action is GRANTED.

The case is scheduled for an Arbitration Status Conference on 7/1/2027 at 8:30 a.m. in Dept. T. Mandatory appearance unless dismissal or judgment has been entered.

Defendant Tesla Inc.'s Request for Judicial Notice is GRANTED but not as to any hearsay or facts in dispute.

Introduction

Defendant Tesla Inc. (Defendant) moved to compel arbitration and to stay Plaintiff Larry Christopher Davison's (Plaintiff) action. Defendant requested judicial notice of Plaintiff's Complaint.

Discussion

In deciding a motion to compel arbitration, trial courts must decide first whether an enforceable arbitration agreement exists between the parties and then determine the second gateway issue whether the claims are covered within the scope of the agreement. (Hyundai Amco America, Inc. v. S3H, Inc. (2014) 232 Cal.App.4th 572, 577.)

Defendant provided that the Motor Vehicle Order Agreement (MVOA) entered on July 21, 2022, included an arbitration provision requiring arbitration of

any and all disputes arising out of or relating to any aspect of the relationship between Plaintiffs and Defendant.

(Raymond Kim (Kim) Decl., par. 3, Exh. 1 at pg. 3.) The scope of the arbitration provision is broadly worded to encompass the claims alleged in the Complaint – “structural, engine, and electrical system defects”.

(Compl. par. 10.) With submission of the arbitration agreement and the broad scope of the provisions, Defendant met their burden on the motion. The burden transferred to Plaintiff to dispute the validity of the arbitration agreements.

Plaintiff argued that the arbitration agreements are unconscionable.

Plaintiff must provide evidence of both procedural and substantive unconscionability, based upon a sliding scale.

(Kinney v. United Healthcare Services, Inc. (1999) 70 Cal.App.4th 1329; Armendariz v. Found Health Psychcare Servs., Inc. (2000) 24 Cal.4th 83, 114; Pinnacle Museum Tower Assn. v. Pinnacle Market Dev. (US), LLC (2012) 55 Cal.4th 223, 247.) Plaintiff asserted procedural unconscionability on the grounds that the purchase agreement was a contract of adhesion and that the rules of the arbitration organization were not provided to Plaintiff. Preliminarily, Plaintiff failed to submit any evidence to show that the MVOA was presented with a “take it or leave it” basis or that the MVOA was presented without any opportunity to negotiate or that Defendant failed to provide Plaintiff with a copy of the arbitration rules or advise which rules would be chosen. The only evidence submitted with the opposition is Attorney Troy Sanders’ (Sanders) declaration. Sanders did not attest to any facts regarding the manner in which the MVOA was entered, nor would any such testimony be admissible sans testimony that Sanders negotiated the MOVA on behalf of Plaintiff. Without testimony from Plaintiff, it is insufficiently shown that the MVOA was presented on a “take it or leave it” basis or that the arbitration rules were not presented. The fact that the MVOA was a pre-printed agreement, without more, does not show that Plaintiff could not have negotiated the terms. For the failure to submit admissible evidence to support the contentions as to procedural unconscionability, Plaintiff failed to meet their burden as to procedural unconscionability.

Even if the Court were to review

procedural unconscionability solely off the terms of the MVOA, the Court does not find any. There are insufficient facts within the MVOA to show that the arbitration agreement was a surprise because the arbitration agreement is highlighted and separated from the other provisions by a box in both the MVOA. The arbitration agreement is also half a page of the four-page MVOA. Because the arbitration agreement is separated from the other provisions of the MVOA, there is no showing of any surprise or there is a very minimal showing of procedural unconscionability. Due to the lack of any procedural unconscionability or a very minimal showing of procedural unconscionability, Plaintiff has a greater burden on the element of substantive unconscionability.

Plaintiff argued that the arbitration agreement is substantively unconscionable because the arbitration agreement only allows one part to “elect” to arbitrate and choose the forum and rules. Substantive unconscionability focuses on whether the terms are “overly harsh or one-sided.” (Sanchez v. Valenica Holding Co., LLC (2015) 61 Cal.4th 899, 910-911.) The MVOA's arbitration provisions are silent as to which party must or may elect arbitration. The MVOA arbitration agreement only provides that the buyer agrees to arbitration rather than resolution of disputes through a judge or jury. Because the MVOA's arbitration agreement is silent as to who may or must elect arbitration, the MVOA's arbitration agreement does not support Plaintiff's contention.

Plaintiff argued substantive unconscionability because the terms included a forum-selection clause (i.e., AAA). However, the forum-selection clause is not one-sided since it does not apply to one party. Both parties agreed to the forum so the forum selection applies to both parties. To the extent Plaintiff argues that the selection of AAA is one-sided based upon the ruling in Chavarria v. Ralphs (9th Cir. 2013) 733, F.3d 916, 923 (Chavarria), the Court finds the argument unpersuasive. The provisions to select an arbitrator in Chavarria are not the same nor similar to the arbitration forum-selection clause at issue here. In Chavarria, the arbitration provision set out specific rules in selecting an arbitrator and was not a forum-selection clause. Further, the arbitration provision in Chavarria expressly precluded any arbitrators from

institutional arbitration administrators, namely AAA or JAMS. The arbitration provision in the instant action does not preclude any arbitrators.

Plaintiff's reliance upon the Chavarria opinion to show unconscionability is not persuasive.

Plaintiff then argued substantive unconscionability based upon the costs Plaintiff would have to incur if the action was arbitrated relative to the minimal costs for litigating the action in Court. However, and again, Plaintiff failed to submit any evidence or testimony related to the costs that would be incurred, let alone a comparison of the costs between arbitration and litigation in Court. For Plaintiff's failure to submit any supporting evidence, the contention is unpersuasive.

Plaintiff failed to show any substantive unconscionability. Because Plaintiff failed to show both procedural and substantive unconscionability, Plaintiff's argument of unconscionability against the arbitration agreements is unpersuasive. Plaintiff failed to meet his burden.

Plaintiff requested that the arbitration be conducted at JAMS rather than American Arbitration Association (AAA) as expressly required in the MVOA's arbitration agreement. However, Plaintiff failed to present any legal or factual argument to support the request.

Plaintiff did not present any authority or facts to show that the Court can re-write the arbitration agreement so that arbitration is to be conducted at JAMS as opposed to the expressly worded provision requiring arbitration at AAA. Without any legal authority or argument applying facts to law, the request is without support and unpersuasive.

The request to arbitrate the matter at JAMS is DENIED.

The motion to compel arbitration and stay the action is GRANTED.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.